Practice workbook · Calculating a revised profit

Starting from a draft profit and adding or taking away the effect of year-end adjustments (accruals, prepayments, depreciation, changes in the debt provision, goods taken by the owner) or of correcting an error, to reach the corrected profit for the year.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-04

1. Question 2 · part b · 5 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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1. Question 2 · part b · 5 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

1. Question 2 · part b · 5 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part b only.

(c) Prepare the statement of financial position at 31 March 2025.

Ruhi
Statement of Financial Position at 31 March 2025

(10)

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10

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1. Question 2 · part b · 5 marks · Working and answer

Working and answer

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2. Question 10 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.

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10 A sole trader's draft profit for the year ended 30 April 2023 was $65 000 **before** adjusting for an outstanding invoice for light and heat totalling $1 200 for the three months ending 31 May 2023.

Identify the adjusted profit for the year ended 30 April 2023.

- ☒ **A** $66 200
- ☒ **B** $65 800
- ☒ **C** $64 200
- ☒ **D** $63 800

(Total for Question 10 = 1 mark)

Working and answer

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3. Question 1 · part b · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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3. Question 1 · part b · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

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3. Question 1 · part b · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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3. Question 1 · part b · 4 marks · Working and answer

Working and answer

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